

Mickenbecker, whose job it is to compare money products from banks and insurance companies, says there are two common pitfalls when it comes to picking the right credit card:

- **Pick your interest**

‘If you ask somebody what matters in a credit card, I think most people would say “interest rate”. That’s true of people who are leaving a debt on the card, but not true for people who are paying off the card in full. It is a bit of a myth – if you are paying the card off in full, you don’t ever pay interest and it doesn’t matter that the card is 25 per cent. Let’s say you fully pay the card off according to the bill, and then you start to make purchases – you won’t have to start paying interest until you miss the next payment or don’t fully make the payment the following month. There are slight differences in how different banks deal with this.’

- **The best things in life are (not necessarily) free**

‘Cards with offers of 55 days’ free credit: there is a lot of misunderstanding about that. What it means is that purchases you make during the month – only purchases, not cash advances – have to be made on the first day of the billing period. So, you receive your bill and it’s ruled off on the 15th of July, for example, and to get free credit, you have to make a purchase and then pay the bill on the due date. And it’s not available to anybody who is leaving a debt on the card at the end of a month.’

**To summarise – if you have a credit card:**

- Make sure you’re paying it off in full every month
- Find a card with a low credit limit if you don’t trust yourself
- Don’t be sucked in by rewards offers
- Research lenders beyond the big four banks
- If you use a balance transfer card, read the fine print.

**Is it a problem if I have a personal loan?**